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Entrepreneurship, the Entrepreneur & the Enterprise

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Objectives:

- Understand the difference between Self and Wage Employment
- Understand the terms Entrepreneurship, Entrepreneur and the Enterprise
- Identify the Types of Entrepreneurs
- Understand the success factors of Entrepreneurship

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Introduction

- People choose their career from two broad options of Wage Employment and Entrepreneurship.
- Entrepreneurship is a career in your own business [YOB] rather than wage employment [JOB]
- It is also possible for one to combine both wage employment and Self employment.
- However, formal employment jobs have been on the decline even though the demand is getting higher
- Self employment has become a career option for formal employment

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Advantages and Disadvantages of Wage Employment

Advantages

i. Specific or fixed responsibility
ii. Stead income
iii. Fringe benefits
iv. Fixed hours of work
v. More certain future
vi. Span of control
vii. Minimal risks
viii. Pension/source of capital
ix. Base for gaining skills

Disadvantages

i. Ability not easily recognized
ii. Follows order
iii. Low and Set income
iv. Limited responsibility
v. Difficult to implement own ideas
vi. Dependent on the employers
vii. Self saturating
viii. Limited scope

Advantages and Disadvantages of Self Employment

Advantages

i. Leads rather than follows
ii. Easy to implement own ideas
iii. Creativity
iv. Potential income is unlimited
v. Independence
vi. Controls work environment
vii. Takes initiative and risks
viii. Gives orders to others
ix. Self generating
x. Unlimited scope

Disadvantages

i. Long irregular working hours
ii. Broad and many responsibilities
iii. Must take risks
iv. No fringe benefits
v. Always involved in almost all decisions e.g. finance, marketing etc.
vi. Uncertain future
vii. Hard to delegate tasks
viii. Learning never ends

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Entrepreneurship

- A process by which individuals pursue opportunities without regard to resources they currently control.
- "the art of identifying viable business opportunities, mobilising resources and promptly converting those opportunities into profitable, sustainable and growing enterprises, usually under conditions of risk and uncertainty"
- Entrepreneurship is the art of identifying viable business opportunities and mobilizing resources to convert those opportunities into a successful enterprise through creativity, innovation, risk taking and progressive imagination.

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Behavioural components of Entrepreneurship

i. Identification of an opportunity
ii. Evaluation of an opportunity
iii. Exploitation of an opportunity
iv. Management of a new or transformed organization
v. Creation of value through the successful exploitation of a new idea

Entrepreneurship Contexts

- Entrepreneurship also exists in large organizations, private and public institutions.
- Intrapreneurship or corporate entrepreneurship is the practice of entrepreneurship in already existing organizations.
- Techno-preneurship is the art of using or taking advantage of the constantly advancing technology or State-of-the-Art technology to create new entrepreneurial and innovative business enterprises. E.g. Zoona, swift cash, Airtel money, MTN Mobile money transfer, internet banking, ATM banking, e-wallet (FNB), Xapit (ZANACO) etc.
- Entrepreneurial activity is neither exclusive to, nor always present in small businesses.

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The Entrepreneur & the Enterprise

- An entrepreneur is a person who starts an enterprise through the entrepreneurship process.
- A person who upon identifying a viable business opportunity uses innovation, creativity, progressive imagination and risk taking initiative to start a new business enterprise or develop an existing one.
- An entrepreneur might not have resources but he will always have ideas.
- The entrepreneur is the actor and entrepreneurship is the act.
- The outcome of the actor and the act is called the enterprise.
- An enterprise is the business organization that is formed and provides goods and services, creates jobs, contributes to national income, exports and overall economic development.

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Types of Entrepreneurs

Pushed Entrepreneur

- Entrepreneurship in response to a crisis situation.
- Many people are pushed into founding a new enterprise by a variety of factors, including;

i. Unemployment or threat of
ii. Disagreement with previous employer
iii. Redundancy

Pulled Entrepreneur

- Entrepreneurship due to positive motives such as;

i. Desire for independence
ii. Desire to exploit an opportunity
iii. Turning a hobby or previous work experience into a business
iv. Financial incentive
v. Successful entrepreneurs as role models

Profile of an Entrepreneur

- While it is difficult to define the profile of an entrepreneur, the characteristics can help;

i. Desire or passion for responsibility
ii. Risk taking, they take calculated risk.
iii. Confidence in themselves
iv. Desire immediate feedback
v. High level of energy
vi. Unique future orientation
vii. Unique skills in organizing
viii. Value for achievement over money
ix. Tolerance for uncertainty
x. Tenacious
xi. Innovative
xii. Creative

Causes of Failure in Entrepreneurship

- Management incompetence
- Lack of experience in the business concerned
- Poor financial control and management
- Poor inventory control
- Inability to make a successful entrepreneurial transition
- Failure to develop a strategic plan
- Uncontrolled growth
- Poor location of the business
- Incorrect pricing
- Inability to find effective markets

Avoiding Pitfalls in entrepreneurship

i. Know your business in depth - Industry analysis
ii. Develop a solid business plan and a realistic achievement budget for your business
iii. Manage financial resources effectively - have appropriate control systems in place
iv. Understand and interpret financial statements
v. Learn to manage people effectively by making them feel to be part of the business but control, direct, coordinate, organize the activities firmly.
vi. Have experience in a particular industry - working knowledge
vii. Learn to manage yourself - be disciplined and exercise self control.
viii. Stay abreast of developments in the industry
ix. You will need to have a quality management systems for your goods and services
x. Beware of the competition in the industry

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Factors for successful Entrepreneurship Development

1. Government Incentives
2. Education and training
3. Market
4. Finance

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Government Incentives

- New business is not in a position to be viable from the first day of operation and may face global competition.
- A new business needs to be nurtured in order to enable it to develop its markets and gain sufficient sales to be viable.
- Incentives may include tax breaks, holidays, grants for plants and machinery, technical support in form of training, research and development.
- Incubation facilities may also be provided where a number of small businesses can be housed to reduce on overheads such as electricity, water, telephone, rentals and other services. E.g. Multi Economic facility zones(MFEZ)

Education and training

- Education and training play an important role in creating capacity and equipping individuals to enter the business arena.
- Skills such as planning, production, purchasing, marketing, manufacturing, accounting etc. are needed.
- Where skills are lacking, information and advice can be sought from consultants, bankers, business advisors, Zambia Chamber of Commerce and Industry etc.

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Market

- There must be a market of sufficient size available before one can consider starting up a business venture.
- Market research and intelligence is needed to quantify the market variables and establish the critical success factors.
- The golden rule is that: if you can't sell it, don't make it.
- Correctly establishing the market opportunities for the product and services is one of the critical activities to be completed before the decision is made to commerce a business venture.

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Finance

- Finance is the lifeblood of every business, without it a business is dead.
- It is critical to establish the amount and timing of finance for a business.
- Research findings are that more businesses have failed due to lack of finance than for any other factor.
- Lack of finance can seriously hamper the operations of small business and considerably increase the cost of operations.
- Cash is King

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Thank You…

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